Steady Volume Growth Validates Future Earnings Visibility; Maintain BUY

Est. Vs. Actual for Q3FY26: Revenue - MISS; EBITDA - INLINE; PAT - MISS

Changes in Estimates Post Q3FY26 Result

FY26E/FY27E/FY28E: Revenue: -4%/-3%/-4%; **EBITDA:** -3%/-1%/-3%; **PAT**: -8%/-2%/-5%

Recommendation Rationale

- **Volume Growth Continues:** Robust, broad-based demand, coupled with consistent execution, helped the company maintain healthy capacity utilisation during the quarter**.** As a result, total lamination volumes grew 21.1% YoY to 16,823 tonnes, and machined components volumes increased 7.7% YoY to 2,967 tonnes.
- **Ensuring Steady Supply of Electrosteel:** The company has secured a tie-up of BIS-approved steel from mills in Korea and Japan. PEL is also taking strategic efforts to make sure that execution isn't impacted due to a lack of raw material, while the working capital requirements also remain under control.
- **EBITDA Margins Preserved:** Despite challenging market conditions, PEL posted an improvement in EBITDA margins. Lamination margins remain steady during the quarter, while machining and value-added assemblies helped in improving profitability. As the mix improves, PEL expects overall margins to trend upwards in the medium term.
- **Capex:** The company's previously approved Rs 150 Cr capex is expected to be fully operational by FY27, with incremental revenues commencing in the same year. PEL has also outlined a capex plan for the next three years to support medium-term growth and further enhance our value-added capabilities.
- **Trade Agreements:** Recent trade agreements between India and major export destinations are expected to create a positive traction for medium to long-term growth of the company.

Sector Outlook: Positive

Company Outlook & Guidance: The company continues to see steady demand from key-end markets despite the recent volatility in global sentiments. With the global macroeconomic challenges showing signs of cooling down, PEL is optimistic about achieving growth with enhanced profitability. While the supply of key raw material remains constrained, the company has taken steps to ensure the execution is not heavily impacted. The management has expressed confidence in achieving revenue in the guided range (Rs 1,900-2000 Cr in FY26) and sustaining current margin levels.

Current Valuation: 21x Sep'27E EPS (Earlier Valuation: 22x Sep'27E EPS)

Current TP: Rs 1,230/share (Earlier TP: Rs 1,335/Share)

Recommendation: We maintain our BUY recommendation on the stock.

Financial Performance

PEL reported Q3FY26 revenue of Rs 477 Cr, up 15% YoY and flat QoQ, missing our estimates by 5%. EBITDA came in at Rs 81 Cr, rising 21% YoY and 4% QoQ, in line with our expectations. EBITDA margin stood at 17%, an improvement of 81 bps YoY and 69 bps QoQ. PAT was Rs 28 Cr, down 2% YoY and 30% QoQ, missing our estimate by 21%, mainly due to lower other income. Capacity utilisation continues to be healthy, supported by strong order flows and execution across railways, power, industrial & mining, and oil & gas sectors. The company's exports business remained steady, contributing 28% to 9MFY26 revenues despite global uncertainties and geopolitical tensions.

Outlook

The company continues to deliver steady growth. Persistent demand from key end-user industries, despite short-term fluctuations, is expected to drive improved utilisation levels. Recently announced capacity additions will further support revenue growth in FY27 and beyond, with a meaningful earnings contribution from FY28. Revenue growth is expected to be supported by the recent trade deals between India and the US, as well as Europe. Increased share of value-added products and operating leverage shall help in improving the margins goinga ahead.

Valuation & Recommendation

While we continue to expect the company to reach close to its FY26 and FY27 revenue targets, we now anticipate performance to trend toward the lower end of guidance. Accordingly, we value the stock at 21x Sep'27E EPS and **with a revised target price of Rs 1,230/share,** implying an **upside of 42% from the CMP.** We maintain our **BUY** rating on the stock as the valuations remain attractive despite the reduced target price.

Key Financials (Consolidated)

(Rs Cr)	Q3FY26	YoY (%)	QoQ (%)	Axis Est.	Variance
Net Sales	477	15%	0%	480	-5%
EBITDA	81	21%	4%	75	-1%
EBITDA Margin	16.95%	81bps	69bps	15.63%	59bps
Net Profit	28	-2%	-30%	43	-21%
EPS (Rs)	7.5	-2%	-30%	12.1	-21%

Source: Company, Axis Securities Research

(CMP as of 06th February, 2026)

CMP (Rs)	863
Upside /Downside (%)	42%
High/Low (Rs)	1,122/675
Market cap (Cr)	3,250
Avg. daily vol. (1 m) Shrs.	61,528
No. of shares (Cr)	3.77

Shareholding (%)

	Jun-25	Sep-25	Dec-25
Promoter	54.2	54.2	54.2
FIIs	0.8	0.9	0.9
DIIs	19.2	20.5	20.2
Others	25.9	24.4	24.7

Financial & Valuations

Y/E Mar (Rs Cr)	FY25	FY26E	FY27E
Net Sales	1,705	1,931	2,308
EBITDA	271	322	390
Net Profit	122	136	190
EPS (Rs)	32.5	36.1	50.5
PER (x)	26.6	23.9	17.1
EV/ EBITDA (x)	12.7	10.7	8.8
ROE (%)	18%	14%	17%
ROCE (%)	22%	19%	22%

Change in Estimates (%)

Y/E Mar	FY26E	FY27E	FY28E
Revenue	-4%	-3%	-4%
EBITDA	-3%	-1%	-3%
PAT	-8%	-2%	-5%

Relative Performance

Source: Ace Equity, Axis Securities Research

Results Gallery

Q2FY26
Q1FY26
Q4FY25
Q3FY25

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Key Concall Highlights

- **Company Performance:** Revenue rose 15% YoY, while adjusted EBITDA (as per the company) for Q3 grew 25% YoY, with margins expanding by 1.4%. While EBITDA improved, net profit growth trailed due to higher finance costs from maintaining elevated inventory levels of BIS-certified steel. Moreover, gross margins also saw a slight contraction.
- **Volumes (QoQ):** Total lamination volumes grew by 21.1% YoY to 16,823 tonnes, up from 13,891 tonnes in Q3FY25. Total machine components volumes increased 7.7% YoY to 2,967 tonnes. Byproducts, including trade sales and steel coils, recorded a volume of 17,155 tonnes.
- **Key End Markets and Exports:** Strong demand was noted in railways (traction motors), data centres, power generation, industrial motors, renewables and mining. Data centres showed particularly strong momentum, contributing 3.7% of revenue in Q3, up from 2.7% in the previous quarter. Railways remain a key focus area and major growth driver for the company, both through domestic and international supply chains. Export revenues remained steady, contributing 28% of total revenue in 9MFY26 despite global geopolitical tensions.
- **Update on BIS Certified Steel Supply Challenges:** The management had previously mentioned that India is currently short on the total capacity of electrical steel, due to regulatory requirements. Resultantly, finance costs were higher during the period, as PEL maintained elevated inventory levels to ensure the availability of BIS-certified steel from import sources. This approach helped the company ensure the uninterrupted execution of customer orders amidst a challenging global environment. Going forward, it has secured a tie-up of BIS-approved steel from mills in Korea and Japan. With these arrangements, PEL has started liquidating the excess inventory and factoring receivables. This is expected to release significant working capital and lead to a reduction in finance costs.
- **Working Capital and Finance Costs:** The company has increased inventory levels to maintain contnious supply of BIS-certified steel. As of quarter end, PEL had approximately Rs 500 Cr worth of inventory, which it plans to reduce to historical levels of about Rs 300 Cr, implying a reduction of Rs 200 Cr over the next three months. It has also started factoring the receivables, which is expected to further reduce the finance costs, which are currently elevated due to high working capital levels.
- **Capacity Utilisations and Expansion Plans:** Current utilisation levels remain healthy, with sheet metal at 76%, machining hours at 90%, and casting at 77% as of late FY26. During the first nine months, PEL has already done Rs 80 Cr of previously approved Rs 150 Cr Capex. The company targets an overall utilisation of ~80% across expanded capacities by the end of FY27. The plans are now underway to increase sheet metal capacity to 1,08,000 MT and foundry capacity to 24,000 MT by FY27. The expansion at the Bangalore facility is already operational. Additionally, the Board approved the merger of wholly-owned subsidiaries, Pitti Industries and Dakshin Foundry, with the parent company to streamline operations and enhance synergies.
- **Outlook:** As per the management, the demand from end markets remains steady, supported largely by indirect exports and a gradual shift in global sourcing towards India. A reduction in the US tariffs is expected to benefit the export business. The management remains confident in achieving its FY26 revenue target of Rs 1,900- 2,000 Cr. For FY27, revenue is targeted at approximately Rs 2,250 Cr. Furthermore, PEL is targeting annual lamination sales of 90,000–94,000 tons within the next three years. To reduce finance costs, it has secured tie-ups with BIS-approved mills in Korea and Japan, which will facilitate the liquidation of excess inventory.

Key Risks to Our Estimates and TP

- Delays in capacity expansion.
- Prolonged/elevated supply-side pressures leading to lower profitability.
- Currency and key commodity fluctuations.

Change in Estimates

(Rs Cr)

	Revised			Old					
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenue	1,931	2,308	2,607	2,012	2,375	2709	-4.1%	-2.8%	-3.8%
EBITDA	322	390	452	331	392	468	-2.7%	-0.7%	-3.4%
PAT	136	190	250	148	193	264	-8.4%	-1.6%	-5.2%

Source: Company, Axis Securities Research

Results Review (Consolidated)

(Rs Cr)

Rs Cr	Q3FY25	Q2FY26	Axis Est	Q3FY26	YoY (%)	QoQ (%)	Axis Variance
Revenue	415	478	502	477	15%	0%	-5%
Gross profit	179	188	197	191	7%	2%	
Gross Margin (%)	43.1%	39.4%	39.4%	40.0%	-308bps	69bps	69bps
Employee Cost	53	40	53	41	-23%	3%	
Other Expenses	59	71	63	69	17%	-2%	
EBITDA (Excl. Other Income)	67	78	82	81	21%	4%	-1%
EBITDA Margin (Excl. Other Income %)	16.1%	16.3%	16.4%	16.9%	81bps	69bps	59bps
Other Income	6.0	21.3	10.8	6.9	14%	-68%	
EBITDA (Incl Other Income)	73.0	99.0	92.9	87.8	20%	-11%	-5%
EBITDA Margin (Incl. Other Income - %)	17.6%	20.7%	18.5%	18.4%	80bps	-233bps	-12bps
Less: Depreciation	21	26	26	27	26%	3%	
EBIT	46	52	56	54	18%	5%	
Less: Net Interest	13	19	19	21	63%	11%	
Profit Before Tax	39	54	48	40	3%	-26%	
Less: Total Tax	10	14	13	11	16%	-17%	
Adj. PAT	29	40	36	28	-2%	-30%	-21%
Adj. EPS	7.64	10.65	9.47	7.49	-2%	-30%	-21%

Source: Company, Axis Securities Research

Note: Numbers for previous quarters reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd., as made available by the company.

Financials (Consolidated)

Profit & Loss

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Net Revenue	**1,705**	**1,931**	**2,308**	**2,607**
COGS	1,017	1,168	1,396	1,577
Staff costs	197	203	242	274
Operating Exp.	220	238	280	304
Total Expenditure	1,433	1,608	1,918	2,155
EBITDA (Excluding Other Income)	**271.1**	**322.2**	**389.7**	**452.4**
EBITDA Margin %	**15.9%**	**16.7%**	**16.9%**	**17.4%**
Other Income	39	48	58	65
EBITDA (Including Other Income)	**309.9**	**370.4**	**447.4**	**517.6**
EBITDA Margin %	**18.2%**	**19.2%**	**19.4%**	**19.9%**
Depreciation	81	103	116	129
EBIT	229	268	331	389
Interest	68	78	74	50
Other Income	39	48	58	65
PBT	162	190	257	338
Tax	39	54	67	88
Tax Rate %	*24.3%*	*28.4%*	*26.0%*	*26.0%*
PAT	**122**	**136**	**190**	**250**
EPS	**32.5**	**36.1**	**50.5**	**66.5**

Source: Company, Axis Securities Research.

Balance Sheet

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Share Capital	19	19	19	19
Reserves & Surplus	880	1,010	1,194	1,439
Net Worth	**899**	**1,029**	**1,213**	**1,458**
Financial Non-Current Liability	366	386	286	236
Other Non-current Liability	-	-	-	-
Deferred Tax Liability	15	15	15	15
Total Non-Current Liability	**407**	**427**	**327**	**277**
Current Financial Liability	346	366	266	216
Other Current Liability	12	12	12	12
Provisions	1	1	1	1
Total Current Liability	**698**	**757**	**730**	**737**
Total Equity & Liability	**2,004**	**2,214**	**2,270**	**2,472**
Application Of Funds				
PPE	766	837	870	891
Capital Work in Progress	63	-	-	-
Right Use of Assets	117	117	117	117
Intangible Assets	8	8	8	8
Non-Current Financial Assets	**0**	**0**	**0**	**0**
Other Non-Current Assets	42	42	42	42
Total Non-Current Assets	**1,149**	**1,156**	**1,190**	**1,211**
Inventories	329	423	443	500
Current-Financial Assets	397	505	508	632
Other Current Assets	127	127	127	127
Total Current Assets	**855**	**1,057**	**1,080**	**1,261**
Total Assets	**2,004**	**2,214**	**2,270**	**2,472**

Source: Company, Axis Securities Research

Cash Flow

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
PBT	162	190	257	338
Depreciation & Amortization	81	103	116	129
Finance Cost	68	78	74	50
Change in Working cap	24	-89	-4	-45
Direct tax paid	-38	-54	-67	-88
Cash flow from operations	**289**	**227**	**377**	**385**
Change in Gross Block	-282	-110	-150	-150
Chg in Investments	-44	-	-	-
Other Investments	-	-	-	-
Cash flow from investing	**-536**	**-110**	**-150**	**-150**
Fresh Issue Proceeds	307	-	-	-
Proceeds / (Repayment) of ST Borrowings (Net)	-13	-	-	-
Finance Cost paid	-68	-78	-74	-50
Dividends paid	-5	-6	-6	-6
Cash flow from financing	**269**	**-44**	**-280**	**-156**
Chg in cash	**22**	**73**	**-53**	**79**
Cash and cash equivalents at the beginning of the year	77	99	172	119
Cash and Cash equivalents at the end of the year	**99**	**172**	**119**	**198**

Source: Company, Axis Securities Research
Note: Historical numbers may not fully reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd

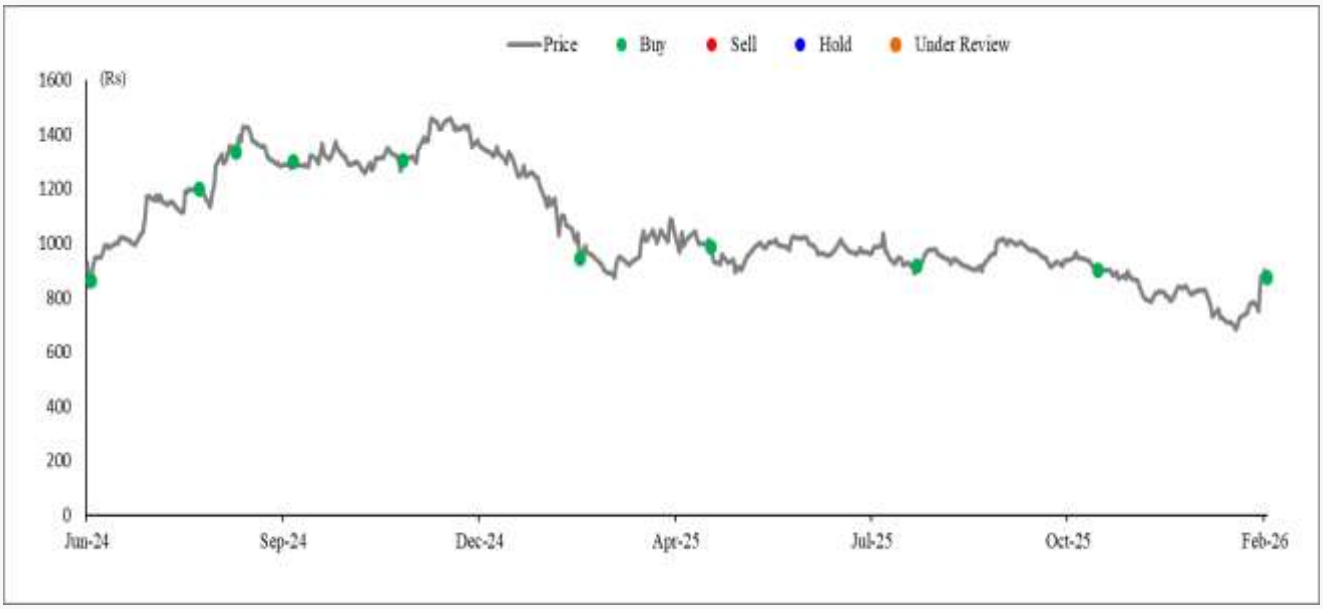
Ratio Analysis

(x) / (%)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Efficiency Ratios				
Asset Turnover (x)	1.00	0.92	1.03	1.10
Inventory Turnover(x)	3.30	3.11	3.23	3.35
Sales/Total Assets	0.85	0.87	1.02	1.05
Receivable days	50	52	51	52
Inventory Days	66	71	68	66
Payable days	61	66	64	66
Financial Stability Ratios				
Total Debt/Equity(x)	0.3	0.3	0.2	0.1
Total Asset/Equity(x)	2.5	2.2	2.0	1.8
Current Ratio(x)	1.2	1.4	1.5	1.7
Quick Ratio(x)	0.8	0.8	0.9	1.0
Operational & Financial Ratios				
Earnings Per Share (Rs)	32	36	50	67
Book Value (Rs)	239	273	322	387
Tax Rate (%)	24.3%	28.4%	26.0%	26.0%
Performance Ratios				
ROA (%)	7.2%	6.4%	8.5%	10.6%
ROCE (%)	21.6%	19.4%	22.1%	23.7%
ROE (%)	17.8%	14.1%	17.0%	18.7%

Source: Company, Axis Securities Research

Pitti Engineering Ltd Price Chart and Recommendation History



Date	Reco	TP	Research
06-Jun-24	BUY	1,180	Company Update
01-Aug-24	BUY	1,403	Result Update
20-Aug-24	BUY	1,516	Result Update
19-Sep-24	BUY	1,572	Company Update
18-Nov-24	BUY	1,380	Result Update
17-Feb-25	BUY	1,340	Result Update
24-Apr-25	BUY	1,350	Result Update
11-Aug-25	BUY	1,350	Result Update
11-Nov-25	BUY	1,335	Result Update
09-Feb-26	BUY	1,230	Result Update

Source: Axis Securities Research

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HOLD	Between 10% and -10%
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UNDER REVIEW	We will revisit our recommendation, valuation and estimates on the stock following recent events.
NO STANCE	We do not have any forward-looking estimates, valuations or recommendations for the stock.

Note: Returns stated in the rating scale are our internal benchmark.